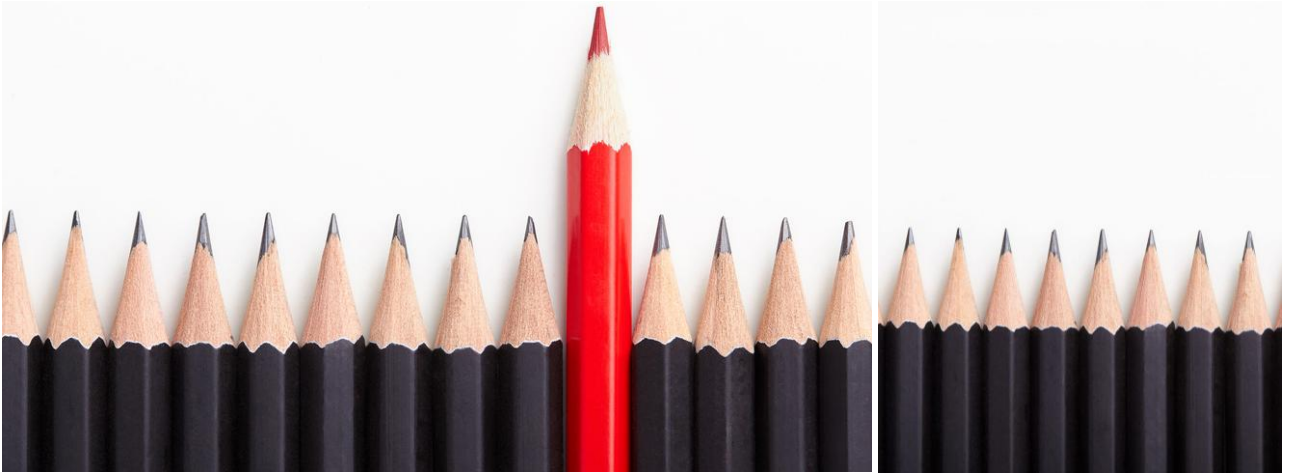




CAC, CLV and Pricing Models & Marketing

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1



Objectives

- At the end of class, you should be able to:
 - Understand the importance of cost of customer acquisition and Customer Lifetime Value
 - Explain how an entrepreneur can practice bootstrapping marketing.
 - Explain the relationship between pricing, image, competition, and value.
 - Explain pricing strategies an entrepreneur can apply.



Customer Acquisition Cost (CAC)

- Customer acquisition cost is the best approximation of the total cost of acquiring a new customer.
 - In calculating your CAC, you must quantify **all** the sales and marketing costs involved in acquiring a **single** average customer in steady state. Include things like:
 - advertising costs
 - the salary of your marketers
 - the costs of your salespeople
 - **Production, R & D, finance and administrations, and any other overhead costs are not included
- You need to have a good understanding of your sales process.

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3



Importance of Customer Acquisition Cost (CAC)

- It helps you figure out what your return on investment should be from a sales and marketing perspective.
 - Not all sales channels are the same. Some cost you more than others to acquire a customer.
- if your customer acquisition cost is greater than your revenue for a long enough period of time, you'll go out of business! (Pets.com)
- As a startup CAC helps you determine the scalability of your venture.

$$\text{CAC} = \frac{\text{Sales and Marketing Expenses}}{\text{New customers acquired}}$$

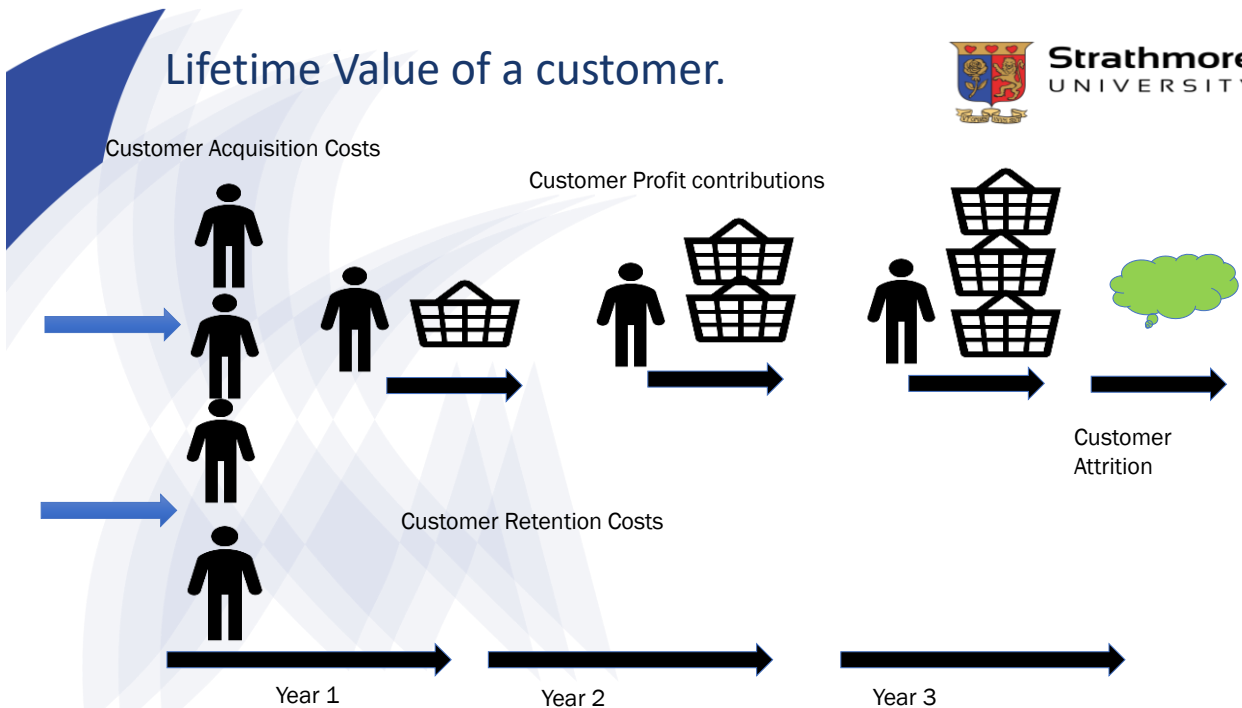
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Lifetime Value of a customer.



5

Lifetime Value of a customer.



- The revenue generated by a single customer over their “lifetime” engagement with a business.
- CLV is not just a number, but a way to view customers as assets.
 - Not all customers are equally valuable.
 - You need to adjust your strategies accordingly.
- Importance of CLV
 - We can make judgments on:
 - the cost of customer acquisition
 - Cost of customer retention
 - Whether to fire or retain customers
 - If to acquire an entire customer base (or firm)
 - Value of enterprise

The Marketing Mix



- The Marketing Mix is a tool used by businesses and Marketers to help determine a product or brands offering. The 4 Ps have been associated with the Marketing Mix since their creation by E. Jerome McCarthy in 1960. In the late 70's it was widely acknowledged by Marketers that the Marketing Mix should be updated. This led to the creation of the Extended Marketing Mix in 1981 by Booms & Bitner which added 3 new elements to the 4 Ps Principle. This now allowed the extended Marketing Mix to include products that are services and not just physical things.
- **The Marketing Mix 4 Ps of Product and 3 Ps of Service.**

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The Marketing Mix 7 Ps



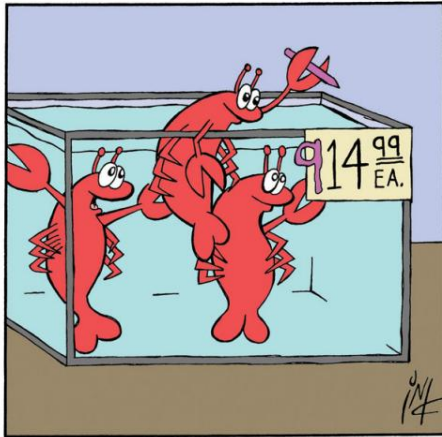
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Pricing



"Great idea, Pete!"

CartoonStock

Pricing is set based on your business model

- Business model is "static" (i.e., it rarely changes)
- Pricing framework is "dynamic"

To help with launch price selection, you can look at four sources:

- industry benchmarks
- competitive analysis
- Economic value analysis
 - How much value are you creating for the customer.
 - Eg: incremental revenue, reduced cost, reduced risk or time savings (increased productivity).
- Market research.
 - Primary Market research

Pricing

- Setting prices is not only one of the toughest decisions small business owners face but also one of the most important.
- Setting prices too high drives customers away and destroys a company's sales.
- Establishing prices that are too low, a common tendency among first-time entrepreneurs, robs a business of its ability to generate a profit, creates the impression among customers that the company's products and services are of inferior quality, and threatens its long-term success.
- Improper pricing has destroyed countless businesses whose owners mistakenly thought that their prices were high enough to generate a profit when, in fact, they were not

Pricing



•Start at some point that is the best guess for the moment, then spiral closer and closer to a better answer

•**Objective**: strike a balance between maximizing revenue and maximizing customer base

•No data point is a single source of truth, rather you'll want to stitch together the insights from across all four mixed in with the best judgment of your team.

•Getting pricing right is an *iterative* and *ongoing* process!

3 strategies for pricing



1. Maximizing Revenue

generate as much revenue as possible, regardless of what it does to a firm's profits. Often a short term approach.

Example, The buy 1 get 1 free offers in retail stores are very attractive and we all love it.

These are types of pricing strategy that are implemented by organizations where one product is united with another product and offered as a deal. Used to clear excess stock or aging stock.

2. Maximize Market Share

Brands make the market entry at a reasonably lower price than the competitors in penetration pricing. These types of pricing strategies are used to appeal to more customers and make the customer shift from present brands existing in the market. Penetration pricing strategies chiefly target price-sensitive customers, whose buying decisions are mainly based on the product prices.

3 strategies for pricing



3. Maximize Profits

Price skimming: These pricing strategies are used by firms while entering into a new and exclusive market. In the early stages, the products are priced at the higher end.

The whole point behind such pricing strategies is to increase the profits for early adopters before competitors enter the market and make the product more price sensitive.

By primarily pricing the products on the higher end, companies can not only recover its development costs but also gives the product an insight into being an exclusive and premium product

Pricing Strategies- PRICING FOR THE PRODUCT LIFE CYCLE

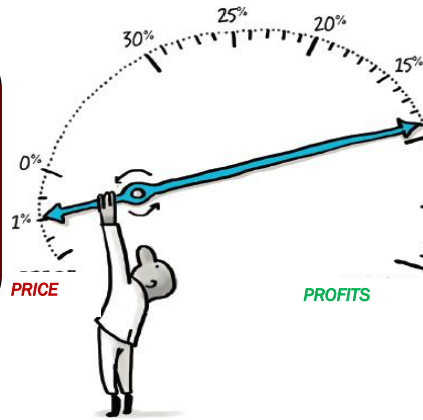


Product /Service Life Cycle Stage	PRICING STRATEGY	REASONS/EFFECTS
Introductory stage Unique product	Skimming – deliberately setting a high price to maximize short-term profits	Initial price set high to establish a quality image, to provide capital to offset development costs and to allow for future price reductions to handle competition
Introductory stage Non-unique product (mass market)	Penetration – setting prices at such a low level that products are sold at a loss	Allows quick gains in market share by setting a price below competitors' prices
Growth stage	Consumer pricing – combining penetration and competitive pricing to gain market share; depends on consumer's perceived value of product	Depends on the number of potential competitors, size of total market and distribution of that market
Maturity stage	Demand-oriented pricing – a flexible strategy that bases pricing decisions on the demand level for the	Sales growth declines; customers are very price-sensitive
Decline stage	Loss leader pricing – pricing the product below cost in an attempt to attract customers to other products	Product possesses little or no attraction to customers; the idea is to have low prices bring customers to newer product lines
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Pricing Framework



A price that is 1% higher, leads to an 11% increase in overall profits
(*"The 1% Windfall"* by Rafi Mohammed)



Fine-tuning your pricing strategy can have a huge impact on your earnings!

Improving pricing
can have a big effect on profits ...
but be patient until the market
matures and you have enough info

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Developing a One Page Marketing Plan



1. **Target Market**
 - Who are your ideal customers?
 - Define demographics, psychographics, location, and behavior.
2. **Value Proposition**
 - What problem are you solving? What are the benefits?
 - Why should customers choose you over competitors?
3. **Marketing Objectives (1-3 SMART objectives)**
 - What are your main goals?
(e.g., increase sales by 20%, grow email list by x, boost brand awareness)
4. **Marketing Channels**
 - Where will you reach your audience?
(e.g., social media, SEO, email, content marketing, paid ads)

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Developing a One Page Marketing Plan



5. Key Messages

- What core messages or offers will you promote?
- Think taglines, positioning, and tone.

6. Budget Overview

- How much are you investing, and in what areas? (e.g., \$X/month on ads, \$Y on content creation)

7. Metrics for Success (KPIs)

- How will you measure effectiveness? (e.g., website traffic, conversion rate, engagement, ROI)

8. Timeline / Milestones

- What's your timeline for rolling out marketing efforts?
- Include any key campaigns or deadlines.

Activities



- Complete the one-page marketing plan.
- Draft a 12 months communication plan that shows the following

Month	Channel	Target Audience	Objective	Key message	Person in the team responsible
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- Prepare a 60 seconds sales pitch – focus on the problem and benefit, and close with a clear call to action.